

EXECUTIVE STAKEHOLDER REPORT

Course Capstone Project: End-to-End Financial & Commercial Analytics Case Study
Dataset: Global Commercial Financials (700 Transactions | 2013 - 2014) | **Prepared for:** Executive Leadership & Stakeholders

1. Executive Summary

This report provides a comprehensive evaluation of commercial operations across 5 countries and 5 customer segments. Over the 16-month analyzed period, total net sales reached **\$118.73M** against a Cost of Goods Sold (COGS) of **\$101.83M**, yielding **\$16.89M in net profit** (14.23% profit margin). While Government sales drive the majority of profitability, our deep-dive analysis revealed severe margin erosion in the **Enterprise segment (-\$614.5K net loss)** driven by aggressive high-discounting.

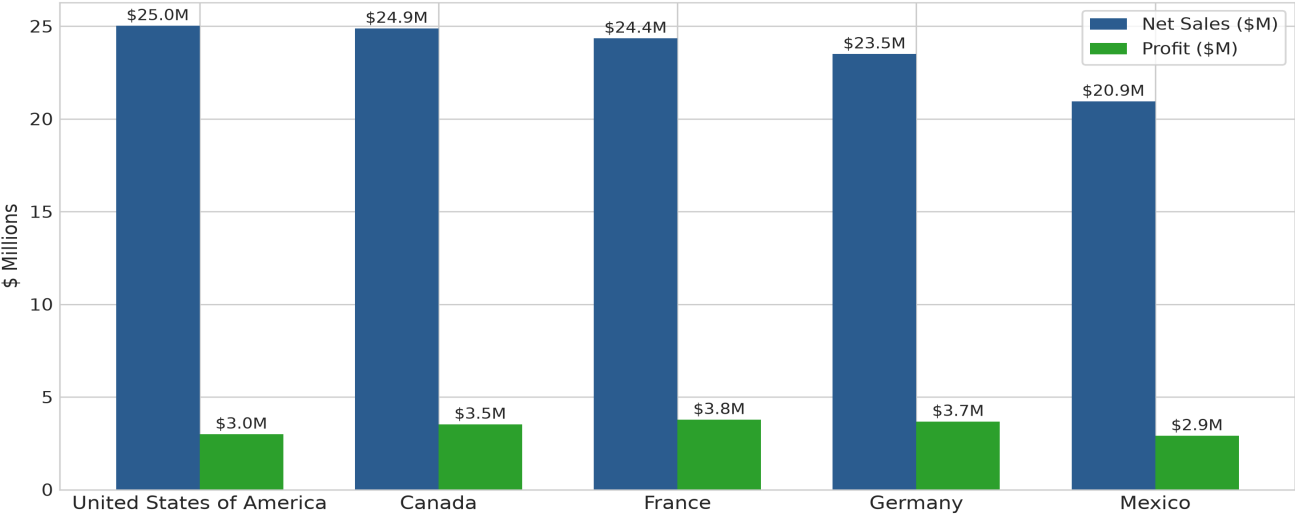
High-Level Performance KPIs

Metric	Total (\$ / Units)	Benchmark / %	Health Status
Gross Sales	\$127,931,598.50	100.0%	Healthy Topline
Discounts Given	\$9,205,248.24	7.20% of Gross	Requires Governance
Net Sales Revenue	\$118,726,350.26	92.80% Realized	Strong Growth
Cost of Goods Sold (COGS)	\$101,832,648.00	85.77% of Revenue	High Cost Base
Net Operating Profit	\$16,893,702.26	14.23% Net Margin	Solid Baseline
Total Units Sold	1,125,806 units	1,608 avg / order	High Volume

2. Geographic Market Performance

Revenue is remarkably balanced across all five core countries (approx. \$21M to \$25M each). However, **France** and **Germany** delivered the strongest profitability at **15.53%** and **15.66%** profit margins respectively. The **United States** generated the largest revenue (\$25.03M) but registered the lowest margin among developed markets (11.97%) due to higher discount volume.

Total Net Sales and Profit by Country (\$ Millions)



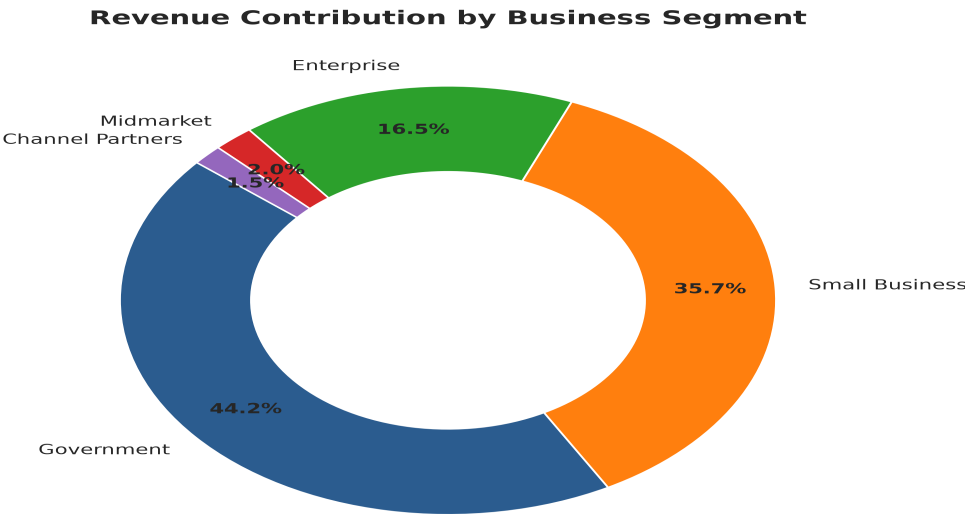
3. Customer Segment Analysis & The Enterprise Loss Discovery

A critical finding from our SQL and Python exploratory analysis is the extreme divergence in segment profitability:

- **Government:** Accounts for **44.22% of revenue (\$52.50M)** and **67.4% of total company profit (\$11.39M)** at a healthy 21.69% margin.
- **Channel Partners:** Generates a modest \$1.80M in sales but achieves an outstanding **73.13% profit margin (\$1.32M profit)** due to minimal operational overhead.
- **Enterprise:** Generates \$19.61M in revenue but operates at a **NET LOSS of -\$614,545.62 (-3.13% margin)**.

CRITICAL ALERT: Enterprise Discounting Erosion

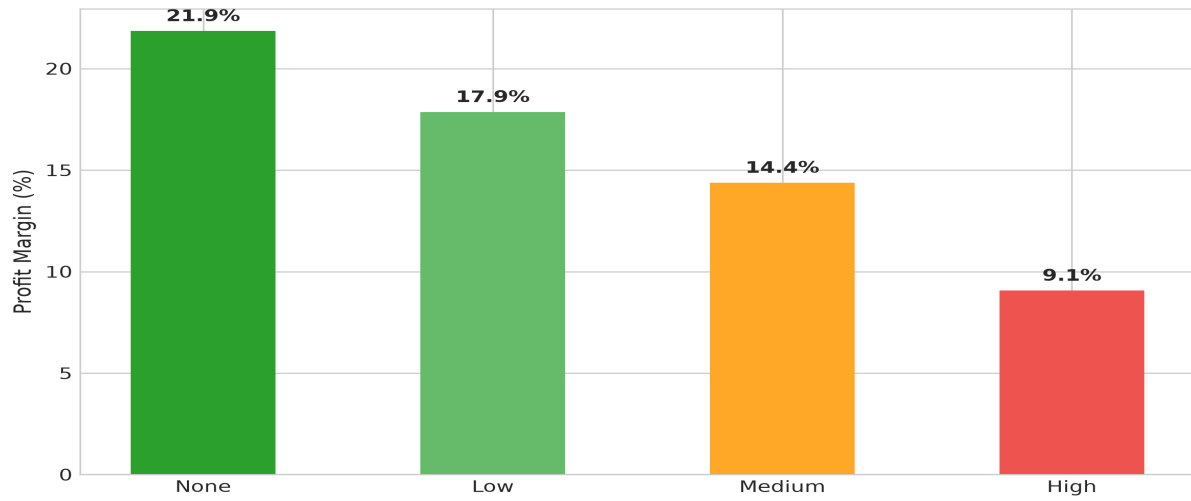
In-depth investigation of Enterprise transactions reveals that when High Discounts are granted, profit drops to **-\$622,368.75 (-9.53% margin)**. Medium discounts also generate losses **(-\$154,952.50)**. Enterprise contracts currently price below fully loaded manufacturing and distribution costs.



4. Price Elasticity & Discount Band Impact

Analysis demonstrates direct margin degradation with discounting: Transactions with **No Discount** achieve a **21.86%** margin, dropping to **17.87%** for Low, **14.39%** for Medium, and plunging to **9.07%** for High Discounts. Over \$5.3M in discounts was given in the High band alone.

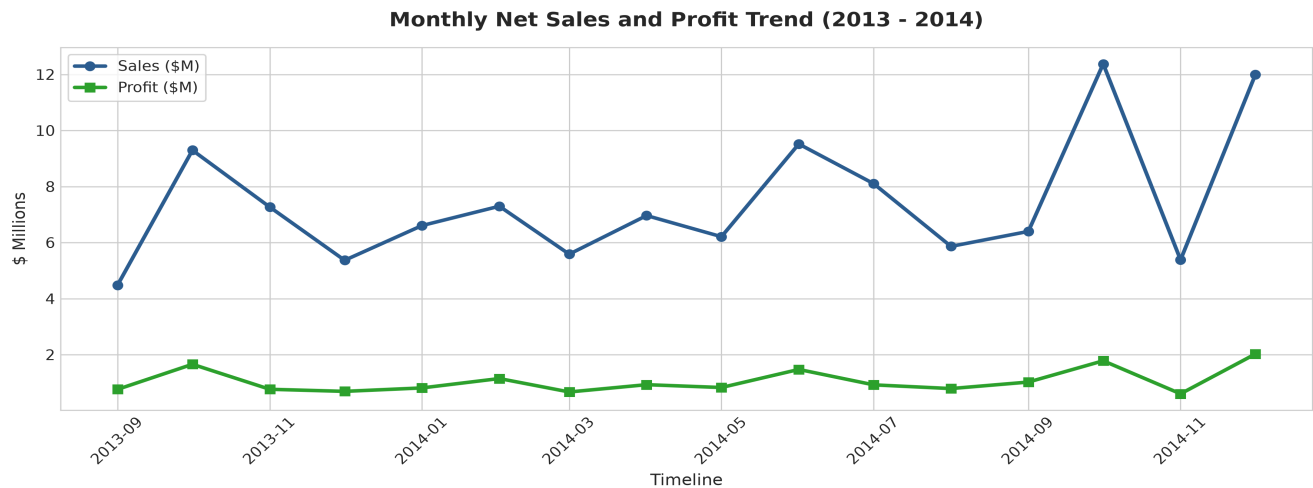
Profit Margin % by Discount Band



5. Product Portfolio & Seasonality Trends

Product Insights: Paseo is the anchor product, contributing **\$33.01M in sales and \$4.80M in profit** (28.4% of company profit). **VTT** and **Amarilla** also perform consistently above \$2.8M profit each.

Seasonality: Sales peak dramatically in **October and December** (exceeding \$12M/month) due to fiscal year-end government budget flushing and holiday demand. Q1 experiences a post-holiday slump that recovers steadily through June.



6. Strategic Recommendations for Stakeholders

- **1. Enforce Strict Enterprise Discount Thresholds:** Immediately eliminate 'High' discount tiers (>10%) on Enterprise deals. Re-pricing Enterprise contracts will eliminate the \$614K annual loss and add ~\$1.2M in profit.
- **2. Scale Channel Partner Programs:** Channel Partners deliver a stellar 73.13% profit margin but represent only 1.52% of total revenue. Expanding partner recruitment will rapidly expand operating income with low capital overhead.
- **3. Protect Government Sector Relationships:** As the provider of 67.4% of total profit, Government accounts require dedicated account management and SLA guarantees, particularly entering the Q4 procurement cycle.
- **4. Re-evaluate USA Margin Structure:** Align USA discounting guidelines with European practices (France/Germany) to increase USA margins from 11.97% to the global benchmark of 15.5%.
- **5. Implement Real-Time Power BI Monitoring:** Deploy automated KPI alerts for contracts falling below 10% gross margin before quotes are approved.